

1.

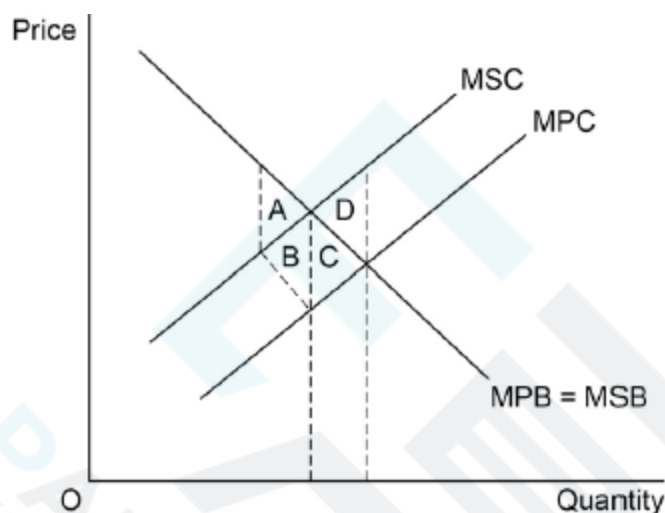
Extract F (lines 1–3) states: ‘There are aspects of market failure in the social care sector, though some argue that inappropriate government intervention and a lack of funding are the main reasons why the system is failing to deliver high quality care.’

Using the extracts and your knowledge of economics, assess policies that might be used to improve the provision of social care in the UK.

[25 marks]

2.

The diagram below shows the marginal private benefit and marginal social benefit (MPB and MSB) curves and marginal private cost and marginal social cost (MPC and MSC) curves for Good X.



Which triangle, **A**, **B**, **C** or **D**, represents the welfare loss if output is at the private optimum rather than the social optimum?

A ☐B ☐C ☐D ☐

[1 mark]

**3.**

Government intervention will result in a more efficient allocation of resources if

- A it leads to a reduction in the consumption of demerit goods. ☐
- B it leads to a reduction in the subsidies received by firms. ☐
- C it reduces the number of competing firms in an industry. ☐
- D consumers are charged for the provision of public goods. ☐

[1 mark]

4.

THE EUROPEAN UNION CONTEXT

Extract E: Housing tenure and externalities

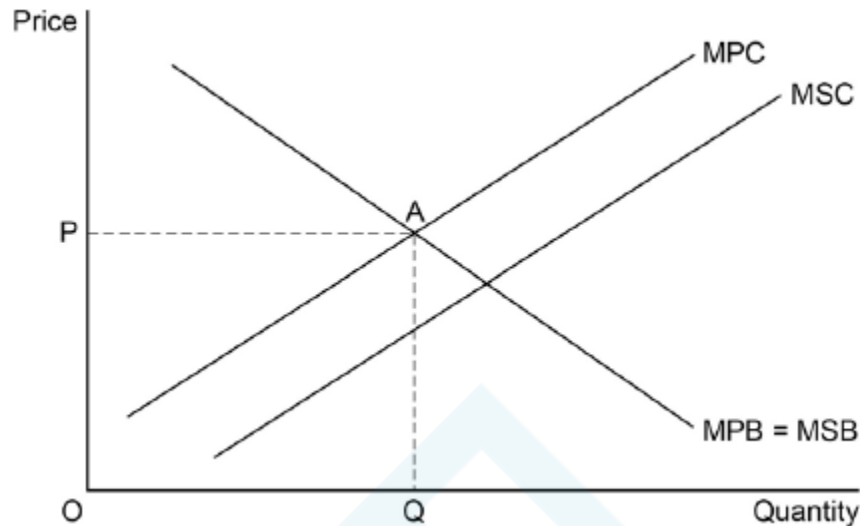
Most Spaniards and Estonians live in flats, while most people in the UK and Ireland live in semi-detached houses. Housing markets are made up of different sectors or 'tenures' which describe the legal basis under which houses are occupied. Most of the population of the EU live in owner-occupied houses. Social housing is built or funded by the public sector and, in the past, the UK has been almost unique in Europe in providing such houses mainly through local councils. In France, this is done by not-for-profit organisations, similar to UK housing associations. About two-thirds of tenants across the EU pay a market price rent, while the rest receive some form of subsidy. In the UK, the concept of social housing has become complicated by the large number of private landlords whose tenants are receiving welfare benefits. While the UK government has moved away from rent controls, it has attempted to influence rents indirectly by capping housing benefits for low income tenants.

While housing has many of the characteristics of a merit good, externalities from housing can be positive or negative. Bad housing is often associated with crime, ill-health and other problems, and the opposite is true of good housing. Tenure can also be linked to externalities, for example, if poorly designed social housing, such as an inner-city block of flats, is compared with high-quality private housing in a prosperous area. Much depends on the quality of the build, the surrounding social conditions and the economic infrastructure.

Source: News reports, 2014

5.

The diagram below shows the marginal private benefit and the marginal social benefit (MPB and MSB) curves and the marginal private cost and marginal social cost (MPC and MSC) curves for good X.



Assuming the free market equilibrium is at point A, what action taken by the government is most likely to lead to output being produced at the socially optimal level?

- A Increase in unit taxes on good X ☐
- B Subsidies to the producers of good X ☐
- C Regulation to reduce consumption of good X ☐
- D Issue of permits designed to reduce output of good X ☐

[1 mark]

6.

'Most consumers know, more or less, when and why they are likely to want to replace a TV set or mobile phone. Nobody really knows in advance when or why they might need to go into hospital for a new knee-cap or hip joint.'

Explain why imperfect information might lead to market failure in the case of merit goods and demerit goods.

[15 marks]

7.

It is generally accepted that we need to adopt new ways of charging for the use of our roads. This is partly because of worsening congestion, but is also due to the reduction in revenue generated from taxes on fuels as a result of more fuel-efficient vehicles.

Assess the view that a system of road-pricing is the best way to tackle the problem of worsening traffic congestion in the UK.

[25 marks]

8.

It is generally accepted that we need to adopt new ways of charging for the use of our roads. This is partly because of worsening congestion, but is also due to the reduction in revenue generated from taxes on fuels as a result of more fuel-efficient vehicles.

Explain why, in the absence of government intervention, too many journeys are likely to be made by road and too few by rail.

[15 marks]

9.

Traditional economic theory assumes that consumers make rational decisions that maximise their economic welfare, but behavioural economists disagree.

The Government would like to improve the well-being of the population by encouraging people to adopt a healthy diet. Using your knowledge of **both** traditional economic theory **and** behavioural economics, assess alternative policies that the Government might adopt to try to achieve its objective

[25 marks]

10.

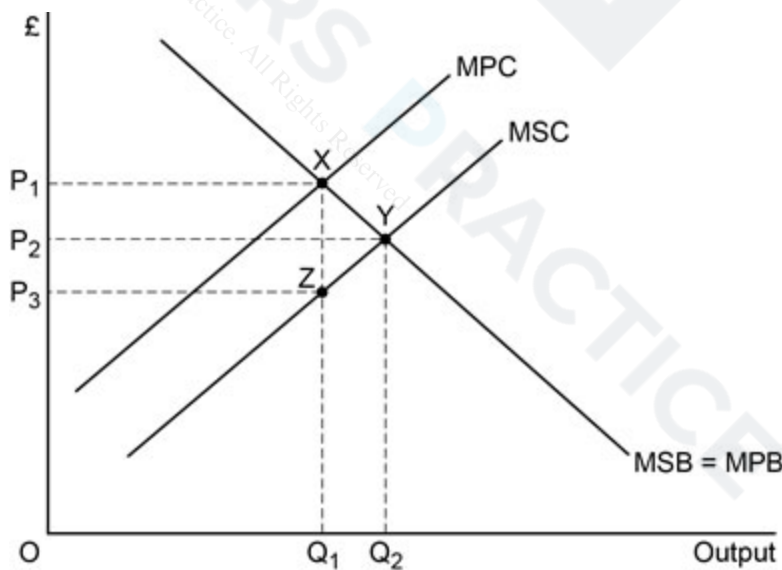
'Most consumers know, more or less, when and why they are likely to want to replace a TV set or mobile phone. Nobody really knows in advance when or why they might need to go into hospital for a new knee-cap or hip joint.'

Discuss whether economic welfare would necessarily be increased if the provision of merit goods and public goods were always left to governments without ever involving markets.

[25 marks]

11.

The diagram below shows the marginal private and social benefit (MPB and MSB) curves and the marginal private and social cost (MPC and MSC) curves in a market where there are positive externalities in production.



At the free market equilibrium, market failure occurs. Which one of the following is correct?

- A** As a result of this market failure, consumer surplus is reduced by ZXY ☐
- B** As a result of this market failure, there is a deadweight loss to society of P_3P_1XZ ☐
- C** P_1 minus P_3 is the subsidy per unit that is required to correct the market failure and achieve the social optimum ☐
- D** The diagonal distance XY shows the amount by which marginal private cost exceeds marginal social cost at OQ_2 ☐

[1 mark]

12.

‘A third runway at Heathrow is essential for the success of the economy of London and the UK.’

‘A third runway at Heathrow would be an environmental disaster and cause huge market failure.’

Explain how an investment project, such as airport expansion, can be commercially successful and yet produce market failure.

[15 marks]

13.

In 2018, the UK Government will impose a new tax on sugary drinks, aimed at tackling obesity. Behavioural economists believe that taxation alone is unlikely to be very effective in reducing consumption. By 2050, obesity is predicted to affect 60% of adult men, 50% of adult women and 25% of children. It is associated with a range of health problems including type 2 diabetes, cardiovascular disease and cancer.

Evaluate the view that imposing a tax is the most effective government policy for reducing the market failures arising from overconsumption of unhealthy food and drink.

[25 marks]

14.

According to Public Health England, poor air quality is the largest environmental risk to public health in the UK. In particular, diesel cars are estimated to be responsible for 40 000 premature deaths each year. In response, the Government announced in 2017 that it would ban the sale of new petrol and diesel cars by 2040.

Assess the view that regulation is a better policy for dealing with the problem of air pollution than the allocation of property rights or taxation.

[25 marks]

15.

In 2018, the UK Government will impose a new tax on sugary drinks, aimed at tackling obesity. Behavioural economists believe that taxation alone is unlikely to be very effective in reducing consumption. By 2050, obesity is predicted to affect 60% of adult men, 50% of adult women and 25% of children. It is associated with a range of health problems including type 2 diabetes, cardiovascular disease and cancer.

Explain why, in a free market, sugary drinks may be overconsumed.

[15 marks]

16.

Which one of the following applies to merit goods?

- A Their marginal private benefit is greater than their marginal social benefit.
- B They are likely to be provided by the market.
- C They can only be supplied by the government.
- D They have the characteristics of non-excludability and non-rivalry.

☐☐☐☐

[1 mark]

17.

INVESTIGATION

Scenario

You are an economist working for the Ministry of Housing, Communities and Local Government (MHCLG).

You have been asked to investigate the state of the UK housing market.

As part of this investigation, you are to provide answers to three questions.

Referring to the **Extracts A, B, C and D**, use them and your knowledge of economics to help you answer this question.

After considering **Extract E**, and the original evidence in **Extracts A, B, C and D**, would you recommend that the Government should increase its spending on housing? Justify your recommendation.

[25 marks]

18.

According to Public Health England, poor air quality is the largest environmental risk to public health in the UK. In particular, diesel cars are estimated to be responsible for 40 000 premature deaths each year. In response, the Government announced in 2017 that it would ban the sale of new petrol and diesel cars by 2040.

Explain why the use of petrol and diesel cars may be a source of market failure.

[15 marks]

19.

In December 2018, the Competition and Markets Authority (CMA) announced a range of policies to prevent firms charging existing customers more than new customers. Firms supplying financial services, mobile phones and broadband are no longer allowed to discriminate against loyal customers renewing their contracts.

Explain why imperfect information can lead to market failure.

[15 marks]

20.

Which one of the following government policies is most likely to reduce market failure and to improve the allocation of resources?

- A A higher rate of tax on all firms earning profit ☐
- B A minimum price for demerit goods above their free market price ☐
- C Free market pricing for the provision of public goods ☐
- D Subsidies paid to all loss-making firms to maintain full employment ☐

[1 mark]